



THE STRATEGY

The idea is to eat premium in the current expiry and benefit from the Vega from the next expiry. To select the strike price, we will multiply current day's India Vix with 2 and look for the strike price of the premium as of the multiplied value for both call and put options, and buy options a bit expensive to the sold options.

THE EXECUTION

Take the value of the India vix and multiply it with 2.

VIX x 2

Current Expiry

> SELL

Sell call and put options of the current expiry whose CMP is equivalent to the twice of India Vix.

This is how you will get your defined trading range.



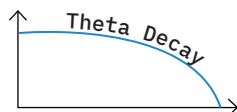
Next Expiry

> BUY

Buy call and put options of the next expiry but the premium of the options should be more than the premium of the sold options.

If you have sold 18,500 at 30, buy an option that costs you 32/33.

30, > BUY 32/33



Higher premium options of longer-term expiry can be bought since these options have less probability of Theta decay.